

Redemption and Repudiation: Southern State Debts, the Fourteenth Amendment, and the Forging of State Sovereign Immunity, 1868–1890

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Abstract

Between the late 1860s and the 1880s the ex-Confederate states ran up large debts under their Radical Reconstruction governments—mostly by lending the state’s credit to railroads—and then, once conservative Democratic “Redeemer” governments took power after the Compromise of 1877, repudiated or drastically scaled down those debts. The Redeemers justified repudiation on grounds of fraud and the alleged illegitimacy of the “carpetbag” governments that had issued the bonds; by 1890 the Southern states had voided on the order of \$100–116 million of principal and escaped a comparable sum in interest. This was a second great wave of American state repudiation, echoing the defaults of the 1840s, and it must be distinguished carefully from two adjacent things: the *Confederate* war debts, which the Fourteenth Amendment’s Section 4 had already declared “illegal and void”; and the antebellum bank-bond repudiations of the 1840s. Because no creditor could sue a state—the Eleventh Amendment barred it—bondholders, including the London houses organized in the Corporation of Foreign Bondholders, had no judicial remedy, and the British government declined to press their claims. When bondholders nonetheless tried every litigation workaround, the Supreme Court closed each one, and in doing so—through *Louisiana v. Jumel*, the *New Hampshire/New York* assignment cases, the Virginia Coupon Cases, and above all *Hans v. Louisiana* (1890)—forged the modern doctrine of state sovereign immunity. The Reconstruction repudiations were thus the crucible in which the constitutional unenforceability of state debt was settled.

*Background memorandum prepared with Claude for the authors’ fiscal-history project. Claims marked [PRIMARY] in the accompanying `reconstruction_debt_repudiation.bib` were checked against primary texts (the case reports, the amendment texts, and Scott’s 1893 monograph). Aggregate dollar figures and several page numbers remain to be pinned; they are collected in Section 8. This memorandum is a companion to our notes on the Revolutionary British debts, on the 1840s state defaults, and on sovereign immunity from *Chisholm* to the 1840s.

1 Introduction: A Second Wave of Repudiation

Our companion memoranda trace two earlier chapters in the enforceability of American public debt: how the young republic came to honor the private debts owed to British merchants (and the treaty-supremacy holding of *Ware v. Hylton*); and how the Eleventh Amendment, provoked by *Chisholm v. Georgia* (1793), removed the courts from the enforcement of state debts, so that when nine governments defaulted in the 1840s their creditors could rely only on reputation (Hall and Sargent, 2026a,b). This memorandum takes up a second great wave of state repudiation—the Southern repudiations that followed the end of Reconstruction—because it is there that the several threads converge: the constitutional unenforceability of state debt, first exposed in the 1840s, was *judicially settled* in the 1880s, in litigation over precisely these Reconstruction bonds.

2 The Reconstruction Debt Buildup

Under the biracial, Republican-led governments established during Congressional Reconstruction, the Southern states borrowed heavily—above all by lending the state’s credit to *railroads*, endorsing or guaranteeing railroad bonds on a large scale. From 1866 to 1872 the eleven ex-Confederate states are estimated to have amassed on the order of \$132 million in state debt for railroad subsidies (White, 2017). A portion of this borrowing was tainted by genuine fraud—the Alabama & Chattanooga endorsement in Alabama, the Bullock-era endorsements in Georgia, and the Swepson–Littlefield frauds behind North Carolina’s special-tax bonds are the notorious cases (Scott, 1893). That real corruption existed is not in doubt; but, as we note below, the Redeemers’ broader claim that the issuing governments were *illegitimate* was a political and racial justification, not a neutral finding.

3 The Fourteenth Amendment, Section 4, and What It Did Not Reach

It is essential to distinguish the Reconstruction debts from the *Confederate* war debts, because the two are easily conflated and only the latter was addressed by constitutional amendment. Section 4 of the Fourteenth Amendment (ratified 1868) provides (U.S. National Archives and Records Administration, 1868):

The validity of the public debt of the United States, authorized by law . . . shall not be questioned. But neither the United States nor any State shall assume or pay any debt or obligation incurred in aid of insurrection or rebellion against the United States, or any claim for the loss or emancipation of any slave; but all such debts, obligations and claims shall be held illegal and void.

The clause did two things. It *guaranteed* the validity of the Union’s Civil War debt—drafted in 1866 by the Joint Committee on Reconstruction out of a fear that returning Southern representatives might combine to repudiate the war debt or cut off soldiers’ pensions. And it *barred* forever the payment, by the United States or by any state, of Confederate war

debts and of any claim for compensation for emancipated slaves (U.S. National Archives and Records Administration, 1868). The Supreme Court’s principal reading of the clause, *Perry v. United States* (1935), later held that its guarantee of the public debt extends broadly to U.S. obligations, not merely to Civil War bonds (Supreme Court of the United States, 1935).

The crucial point for our purposes is what Section 4 did *not* reach. It voided *Confederate* debts—obligations incurred in aid of rebellion between 1861 and 1865. The debts the Redeemers repudiated in the 1870s and 1880s were different animals: bonds issued *after* the war, in 1868–1874, by the Reconstruction governments. Their repudiation was neither required nor authorized by Section 4; it was a separate act, resting on state constitutional amendments and on allegations of fraud and illegitimacy (Scott, 1893; Ratchford, 1941). A careful account must keep three repudiations apart: the antebellum bank bonds of the 1840s (treated in our companion memo); the Confederate war debt, voided by Section 4; and the Reconstruction railroad debt, the subject of this memo.

4 Redemption and Repudiation, State by State

The mechanism was almost everywhere the same: a Redeemer constitutional convention or amendment declared specified Reconstruction bonds fraudulent, unconstitutional, or void, or a “funding”/“settlement” act exchanged them for new bonds at a fraction of face value. Table 1 summarizes the debts outstanding when repudiation sentiment crystallized (from Scott’s 1893 tabulation) and the outcome.

4.1 Virginia: the Readjusters as a counterpoint

Virginia deserves emphasis because it complicates the simple “Redeemers repudiated” story. Virginia’s debt was overwhelmingly *antebellum* internal-improvement debt, swollen to more than \$45 million by the 1871 Funding Act, which made bond coupons receivable for state taxes—so that within two years nearly half the state’s revenue arrived as coupons, starving the new public schools (Tarter, 2021). The scaling-down was carried not by conservative “Redeemers” but *against* them: the biracial *Readjuster* coalition led by the former Confederate general William Mahone, which won the legislature in 1879 and the governorship in 1881, and whose Riddleberger Act (1882) reset the debt at about \$21 million in 3% bonds to fund schools and services. The conservative “Funders” had insisted on paying in full to preserve the state’s honor and credit (Moore, 1974; Maddex, 1970; Encyclopedia Virginia, 2021). Virginia thus shows that debt scaling could be a *reform* program, not only a Lost-Cause one.

4.2 A note on the repudiators’ rhetoric

The Redeemer governments justified repudiation as the cleansing of fraud committed by illegitimate “black Republican,” “scalawag,” and “carpetbagger” governments. Some of the underlying fraud was real. But the “illegitimacy” argument was itself part of the Lost-Cause project: the Reconstruction governments were the lawful, biracial governments of their states, and the racial framing of repudiation as the repudiation of *their* debts was a political

Table 1: Southern state debts and their repudiation/readjustment

State	Debt at repudiation	Mechanism and outcome
North Carolina	\$15,000,000	Most aggressive: \$16.24M of “special-tax” railroad bonds (Swepson–Littlefield fraud); acts repealed, 1880 amendments barred payment
Louisiana	\$22,500,000	1874 Funding Act: “consolidated bonds” at 60c on the dollar; \$8.09M voided as beyond the constitutional limit; 1879 Debt Ordinance cut the coupon. Source of the leading Eleventh-Amendment cases
Virginia	\$45,000,000	Largely <i>antebellum</i> debt; Riddleberger Act (1882) reset it at ~\$21M in 3% 50-year bonds, repudiating accrued interest and the West Virginia “third”
Tennessee	\$43,950,000	1883 Settlement Act scaled the debt to ~50c on the dollar at 3% (readjustment)
Alabama	\$11,345,000	1875 constitution debt limits; 1876 settlement act scaled down the railroad-aid debt
Georgia	\$11,135,500	Bullock-era endorsements (Brunswick & Albany RR) declared null and void; 1877 constitution forbade paying them
South Carolina	\$15,850,000	1873 Consolidation Act at 50c on the dollar; \$5.9M of “conversion bonds” declared void
Arkansas	\$8,600,000	Railroad-aid, levee, and Holford bonds held void; Fishback Amendment (1884) barred all payment
Florida	\$1,850,000	Repudiated ~\$8M of bank and railroad-aid bonds (with interest)

Source: debt totals from Scott (1893, 215) (Florida detail at p. 54). Virginia and Tennessee totals largely reflect *antebellum* internal-improvement debt carried and readjusted after the war. Mississippi is omitted: its famous repudiation (the Union and Planters Bank bonds) was *antebellum* (1842), reaffirmed in the 1875 and 1890 constitutions, not a Reconstruction-debt repudiation. Texas ran up little debt and did not significantly repudiate.

act. A book treatment should present “illegitimate carpetbag debt” as the *repudiators’ characterization*, not as an established fact (White, 2017; Woodward, 1951).

5 Foreign Bondholders Without a Remedy

As in the 1840s, much of the repudiated paper was held abroad, chiefly in London. The *Corporation of Foreign Bondholders*, organized in London in 1868, took up the creditors’ cause and published lists of the defaulted Southern debts. But the creditors had essentially no recourse. The British Foreign Office declined to press their claims, reasoning—correctly—that even the *federal* government of the United States had no power to compel a state to pay (McGrane, 1935). The barrier was the Eleventh Amendment and the sovereign immunity of the states: a foreign or out-of-state creditor simply could not bring a defaulting state to court. Enforcement, as in the 1840s, could come only through reputation and the market’s memory—and here even that lever was weak, because the repudiating states largely did without new foreign borrowing.

6 The Litigation That Forged Sovereign Immunity

The Reconstruction repudiations produced the litigation in which the modern law of the Eleventh Amendment was made. Congress had granted the federal courts general federal-question jurisdiction in 1875, just as the Redeemers were voiding bonds; bondholders poured into federal court armed with the Contract Clause; and the Supreme Court, unwilling either to abandon contract doctrine or to provoke wholesale state defiance of its judgments, resolved the tension by *expanding state sovereign immunity* (Orth, 1987). It closed the workarounds one by one:

- *Louisiana v. Jumel* (1883): a suit to compel Louisiana’s officers to pay the repudiated consolidated-bond interest was barred—the money in the treasury is the state’s, and the state is “the real and only party” in interest (Supreme Court of the United States, 1883b).
- *New Hampshire v. Louisiana* and *New York v. Louisiana* (1883): bondholders assigned their Louisiana bonds to their home states so those states could sue in the Supreme Court’s original jurisdiction (state-versus-state suits being unbarred); the Court saw through the device and dismissed (Supreme Court of the United States, 1883c).
- The Virginia Coupon Cases: after Virginia repudiated its tax-receivable coupons, the Court first upheld the state’s substitute remedy (*Antoni v. Greenhow*, 1883), then allowed a suit against an officer who seized property under a void law as a private wrongdoer (*Poindexter v. Greenhow*, 1885), then cabined that opening by holding that a suit to make officers honor the state’s *contract* was really a suit against the state (*Ex parte Ayers*, 1887) (Supreme Court of the United States, 1883a, 1885, 1887).
- *Hans v. Louisiana* (1890): the capstone. A Louisiana citizen sued his own state for the repudiated consolidated-bond interest, arguing the Contract Clause; the Court

held that a state may not be sued in federal court even by its own citizens, extending immunity beyond the Amendment’s literal text (Supreme Court of the United States, 1890).

As John Orth argues, *Hans* and its companions are best explained by the post-Reconstruction political settlement: the Court used the Eleventh Amendment to shield the Southern states from their creditors and ease sectional reconciliation (Orth, 1987; Purcell, 2003; Gibbons, 1983). In James Ely’s phrase, *Hans* “can best be understood as part of the Supreme Court’s refusal, on claimed jurisdictional grounds, to confront the widespread repudiation of bonds by southern states.” The constitutional unenforceability of state debt that the 1840s had revealed was, in the 1880s, *entrenched*.

7 Connections to the Book and the Companion Memoranda

Several links to the other memoranda seem worth carrying into the manuscript.

1. **The arc of state sovereign immunity closes here.** Our Eleventh-Amendment memo runs from *Chisholm* (1793) to the 1840s; *Hans v. Louisiana*, which appears there as the doctrine’s capstone, *arose from this episode*—Louisiana’s repudiation of its 1874 consolidated bonds. This memo supplies the factual matrix for that case and its companions. The two memos are naturally read as one arc.
2. **Two waves of state repudiation.** The 1840s and the 1870s–80s are the two great waves, and they rhyme: heavy borrowing (canals/banks, then railroads), a shock (the Panic of 1837, then the collapse of Reconstruction and the Panic of 1873), default and repudiation, foreign creditors without recourse, and a constitutional response (the debt-limit constitutions of 1842–52, then the sovereign-immunity cases). The reputational logic of our 1840s memo applies again—with the twist that the repudiators here mostly did not seek to re-borrow abroad, so market discipline bit less.
3. **Federal versus state credit.** As with the Revolutionary British debts, a *constitutional* obligation could be enforced (Section 4 protects the *Union* debt, vindicated in *Perry*), while a state’s own debt could not (the Eleventh Amendment). The contrast between enforceable federal credit and unenforceable state credit, a theme of all four memos, is at its sharpest here: the same Fourteenth Amendment that guaranteed the federal debt sat beside an Eleventh Amendment that let the states repudiate.
4. **Virginia recurs.** Virginia appears in three of the memos—its Revolutionary British debts, and its post-war Readjuster settlement—a convenient through-line if the book wants one state’s fiscal biography.

8 Caveats and Verification Notes

- **Aggregate repudiation figures.** The “~\$116 million of principal repudiated and ~\$150 million of interest escaped by 1890” figure is attributed to White (2017) but

not pinned to a page; an alternative “\$75M principal / \$300M interest” circulates as “from Scott” but we could not locate it in Scott’s text. Confirm against McGrane (1935) (pp. 282–381) and Ratchford (1941) before printing a total.

- **The \$132 million railroad-subsidy figure** is attributed to White (2017); verify the page.
- **Per-state amounts** in Table 1 are debts *outstanding* at repudiation (Scott, p. 215), not net amounts repudiated; Alabama’s scaled-down figure in particular was not firmly verified. Scott page numbers other than p. 54 and p. 215 are approximate (from OCR) and should be checked.
- **Virginia’s exact Riddleberger principal** (often given as \$21,035,377.15) is confirmed only as “a little more than \$21 million”; confirm the exact figure in Moore (1974) or the statute.
- **Section 4 drafting motive.** The claim (sometimes made) that concern over *British-held* Confederate bonds motivated Section 4 could not be confirmed and is not asserted here.
- **Orth page numbers** for the repudiation-cases thesis are given as a chapter locator (~pp. 58–89), not a pinpoint; the Ely quotation should be verified against its source before quoting.

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—, “Poindexter v. Greenhow, 114 U.S. 270,” 1885. [PRIMARY] Matthews, J. An officer acting under a void law is a private wrongdoer; suit against him individually not barred by the Eleventh Amendment.

—, “Ex parte Ayers (In re Ayers), 123 U.S. 443,” 1887. [PRIMARY] Matthews, J. (Harlan dissenting). A suit against officers enforcing the state’s contract is in substance against the state, barred by the Eleventh Amendment.

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